CHAPTER 6.

An Act to make further provision as to the superannuation benefits of officers of trustee savings banks and of the Inspection Committee, and to empower trustee savings banks to make advances for the extension or formation of other such banks. [18th February 1947.]

BE it enacted by the King's most Excellent Majesty, by and with the advice and consent of the Lords Spiritual and Temporal, and Commons, in this present Parliament assembled, and by the authority of the same, as follows:—

Allocation of part of superannuation benefits to dependants.

1.—(1) An officer of a trustee savings bank who retires from the service of the bank, otherwise than on the ground of ill health, at any time after the coming into operation for that bank of rules under this section shall be allowed to surrender, as from the date of his retirement, such part (not exceeding one-third) of any annual allowance which the trustees of the bank may grant to him under section fourteen of the Act of 1929 as may be provided by the rules in return for the trustees' granting to the wife or husband, as the case may be, of the officer or to a dependant of the officer a pension, payable from the like source as the said allowance, of such value as according to the tables for the time being in force for the purposes of section two of the Superannuation Act, 1935 (which provides for the allocation of superannuation benefits) is actuarially equivalent, on the date of the officer's retirement, to the value of that part of the said annual allowance which is surrendered.

25 & 26 Geo. 5. c. 23.

In this Act the expression "the Act of 1929" means the Savings Banks Act, 1929, as amended by this Act.

19 & 20 Geo. 5. c. 27.

(2) Rules under this section may with the approval of the National Debt Commissioners be made for any trustee savings bank by the trustees of the bank, and may provide—

(*a*) for the application thereof to officers of the bank generally or to any class of such officers;

(*b*) for the circumstances in which, and the conditions as to proof of good health and other matters subject to which, an officer to whom the rules apply may surrender an allowance in accordance with the foregoing subsection;

(*c*) for the application in relation to any pension granted in return for such a surrender of the provisions of subsection (3) of section fourteen of the Act of 1929 (under which an allowance under that section is only to be continued so long as, in the opinion of the Inspection Committee, the funds of a bank admit of its payment), subject to such modifications as appear to the trustees requisite for excluding from the application of that subsection so much of a pension as represents deductions in respect thereof made from instalments of the annual allowance of the retiring officer already paid to him.

(3) Any such pension as aforesaid for the benefit of a dependant, not being the spouse of the retiring officer, shall be payable in respect of the period, if any, for which the dependant survives the retiring officer, and any such pension as aforesaid for the benefit of the spouse of the retiring officer shall, according as the retiring officer may in conformity with the rules of the bank under this section elect, be payable either—

(*a*) in respect of the period, if any, for which the spouse survives the retiring officer, or

(*b*) in respect both of the period of their joint lives subsequent to the retirement and of the period, if any, for which the spouse survives the retiring officer,

and the rules may provide that a pension payable thereunder in respect of the periods mentioned in paragraph (*b*) of this subsection shall be paid at one rate in respect of the first of those periods and at a higher rate in respect of the second.

(4) If any person has, in accordance with rules under this section, surrendered part of an allowance, then for the purpose of calculating the amount of any gratuity which may be granted to his legal personal representative under paragraph (*c*) of subsection (1) of section fourteen of the Act of 1929 the sums paid or payable to him at the time of his death on account of the said allowance shall be deemed to be the sums which would have been so paid or payable but for the surrender.

(5) The foregoing provisions of this section shall apply to the Inspection Committee and officers thereof as they apply to a

trustee savings bank and officers thereof, with the substitution for references to the trustees of a trustee savings bank or to such a bank of references to the Committee, and for references to section fourteen of the Act of 1929 and any provision thereof of references to that section or provision as applied by section fifteen of the Act of 1929.

Death gratuities payable after five years' service.

2. The power conferred by sections fourteen and fifteen of the Act of 1929 to grant a gratuity to the legal personal representative of an officer of a trustee savings bank or of the Inspection Committee who dies while still employed in the service of the bank or Committee shall be exercisable in the case of any such officer who has served not less than five years' service as such, and accordingly in paragraph (*b*) of subsection (1) of the said section fourteen for the words " ten years' service " there shall be substituted the words " five years' service ".

Superannuation payments for transferred officers.

3.—(1) Where, whether before or after the commencement of this Act, an officer of the Inspection Committee or the Trustee Savings Banks Association has been transferred to service with a trustee savings bank, or an officer of a trustee savings bank or the Trustee Savings Banks Association has been transferred to service with the Inspection Committee, then for the purposes of section fourteen or fifteen of the Act of 1929 (which provide for superannuation benefits for officers of a trustee savings bank and of the Inspection Committee, being benefits depending on length of service with trustee savings banks or with the Committee, as the case may be) and of the last foregoing section the period of continuous trustee savings bank service of the officer ending with the transfer shall, subject to the provisions of this section, be reckoned as if it were a period of service with the bank or Committee to service with which the officer is transferred.

(2) In this section the expression " trustee savings bank service " means service with any trustee savings bank institution, that is to say, any trustee savings bank, the Inspection Committee or the Trustee Savings Banks Association, and trustee savings bank service shall be treated as continuous if interrupted only on transfer from one trustee savings bank institution to another.

(3) In respect of the transfer, whether before or after the commencement of this Act, of an officer of a trustee savings bank to service with another such bank or the Inspection Committee or the Trustee Savings Banks Association, or of an officer of the Committee to service with a trustee savings bank or the Association, the trustees of the bank from service with which he is transferred or the Committee, as the case may be, may, with the approval of the National Debt Commissioners, pay to the bank, Committee or Association to service with

which the officer is transferred such amount as may with the like approval be determined by the trustees or Committee making the payment to represent the superannuation value, at the date of the transfer, of the continuous trustee savings bank service of the officer ending with that date.

Any payment under this subsection by trustees or the Inspection Committee may be defrayed in the like manner as sums payable by the trustees or Committee under section fourteen or fifteen of the Act of 1929.

(4) No payment shall be made—

(*a*) by the trustees of a trustee savings bank under the said section fourteen by reference to previous service of an officer of the bank with the Inspection Committee or the Trustee Savings Banks Association, or

(*b*) by the Inspection Committee under the said section fifteen by reference to previous service of an officer of the Committee with a trustee savings bank or the Trustee Savings Banks Association,

unless on the transfer of the officer in question to service with the bank or the Committee, as the case may be, payment was made to them in respect of the officer by the bank, Committee or Association from service with which the officer was transferred of an amount equal to the superannuation value, at the date of the transfer, of the said previous service.

(5) For the purposes of this section, the superannuation value, at the date of any transfer, of any service of a transferred officer shall be an amount, calculated in accordance with rules for the purposes of this section made by the National Debt Commissioners, equivalent to the actuarial value at that date of the superannuation benefits, so far as attributable to the service in question, which would be payable in respect of him if he continued to serve with the bank, Committee or Association from service with which he is transferred at the remuneration payable to him immediately before the transfer until his trustee savings bank service was terminated by death or retirement.

Establishment of superannuation reserves.

4.—(1) The trustees of a trustee savings bank, or of two or more such banks acting jointly, may, with the approval of the Inspection Committee and in accordance with rules made by the trustees with the consent of the National Debt Commissioners, establish a reserve fund to be known as the superannuation reserve; and where such a reserve has been established any superannuation payment falling to be made by the trustees of the bank, or of any of the banks, for which the reserve was established shall, in such cases and to such extent as may be provided by rules made as aforesaid, be defrayed out of the superannuation reserve instead of being defrayed in the manner provided by the said section fourteen or the foregoing provisions of this Act.

In this section the expression "superannuation payment" means a payment under section fourteen of the Act of 1929 or under the foregoing provisions of this Act.

(2) Rules made as aforesaid shall provide for the source from which and the manner in which the trustees shall make payments to the superannuation reserve, and for the application of the assets thereof otherwise than in defraying superannuation payments either where it is determined in accordance with the rules that the assets of the superannuation reserve exceed the amount likely to be required for defraying such payments or in the event of the winding up of the bank, or of any of the banks, for which the reserve was established, or in such other circumstances as may be provided by the rules; and—

- (*a*) save as may be provided by the rules the assets of the superannuation reserve shall not be applicable except for the purpose of defraying superannuation payments and any expenses of managing the reserve, and
- (*b*) subsection (3) of section fourteen of the Act of 1929 (under which payments under that section are only to be continued so long as, in the opinion of the Inspection Committee, the funds of the bank admit of their payment) shall, notwithstanding anything in that subsection or in rules made under section one of this Act, not apply to so much of any superannuation payment as is payable out of the superannuation reserve.

(3) The assets of any superannuation reserve established under this section shall be invested with the National Debt Commissioners on the same terms and in the like manner as assets of the bank in question which are invested with the Commissioners in pursuance of section fifteen of the Trustee Savings Banks Act, 1863. 26 & 27 Vict. c. 87.

(4) The National Debt Commissioners, after consultation with the Inspection Committee, may require any trustees to amend rules made by them for the purposes of this section in such manner as the Commissioners may specify, and if it appears to the Commissioners that the trustees have failed within a reasonable time to comply with any such requirement the Commissioners may direct that the rules shall have effect as if amended in accordance with the requirement.

(5) Rules under this section may contain such incidental and supplementary provisions as appear requisite for the purposes of this section.

(6) Where superannuation reserves have been established, whether jointly or separately, for two or more trustee savings

banks, the reserves may, with the approval of the National Debt Commissioners, be amalgamated on such terms as to the making of payments out of the amalgamated reserves as may be agreed between the trustees of the banks in question, and where superannuation reserves have been amalgamated in pursuance of this subsection, they shall be treated as if they were a single superannuation reserve established by the said banks acting jointly, and the foregoing provisions of this section shall apply accordingly.

Establishment by trustee savings banks of contributory superannuation funds.

5.—(1) The trustees of a trustee savings bank, or of two or more such banks acting jointly, may in accordance with rules made by them with the consent of the National Debt Commissioners establish a contributory superannuation fund, to be vested in trustees appointed in accordance with the rules, to which contributions shall be made, of such amounts and payable at such times and in such manner as may be provided by the rules,—

(*a*) by the persons for whom provision can be made out of the fund and who are employed in the service of the bank or banks by whom the fund is established;

(*b*) by the trustees of the said bank or banks, from such source as may be provided by the rules.

(2) The assets of any fund established under this section shall be applied—

(*a*) in providing, in respect of persons employed in the service of the bank or banks in question or any class of such persons, as may be provided by the rules, benefits of all or any of the descriptions provided for by the Act of 1929, of amounts not exceeding those which could be paid under that Act,

(*b*) in repaying, in such cases and to such extent as may be provided by the rules, the amount of contributions made to the fund by persons in the service of the bank, or any of the banks, in question, together with compound interest thereon calculated at such rate and in such manner as may be provided by the rules but subject to the deduction (in so far as the rules so provide) of sums due from such persons to the bank by whom they have been employed,

(*c*) in defraying, in so far as the rules so provide, the cost of payments under subsection (3) of section three of this Act,

(*d*) in defraying the expenses of management of the fund:

Provided that where it is determined in accordance with the rules that the assets of the fund exceed the amount likely to be required under the four foregoing paragraphs, or in the event of the winding up of the bank, or of any of the banks, for which the fund was established, or in such other circumstances as may be provided by the rules, the assets shall become applicable in such other manner as may be so specified.

(3) Subsections (3) to (6) of the last foregoing section shall apply for the purposes of this section with the substitution for references to a superannuation reserve of references to a contributory superannuation fund and for references to that section of references to this section.

Advances by trustee savings banks for development.

6.—(1) The trustees of a trustee savings bank may, with the approval of the National Debt Commissioners, make advances, of such amounts, on such terms and conditions and for such period as may be approved by the Commissioners,—

(*a*) to the trustees of another trustee savings bank for the purpose of enabling the operations of that other bank to be extended;

(*b*) to any persons proposing to form a new trustee savings bank for the purpose of providing for expenses incurred or to be incurred in connection with the formation and the initial working of the new bank.

(2) The amount of any advance made by the trustees of a bank under this section shall be defrayed either as part of the current expenses of the bank or, with the sanction of the Inspection Committee, out of any moneys standing to the credit of the bank in the separate surplus fund.

(3) For the avoidance of doubt it is hereby declared that the power conferred by the last foregoing subsection to defray advances as part of the current expenses of the bank includes power to defray advances out of surplus moneys already accumulated, other than moneys standing to the credit of the bank in the separate surplus fund.

Short title, construction, citation and application.

7.—(1) This Act may be cited as the Trustee Savings Banks Act, 1947.

(2) This Act shall be construed as one with the Trustee Savings Banks Acts, 1863 to 1934, and those Acts and this Act may be cited together as the Trustee Savings Banks Acts, 1863 to 1947.

(3) This Act shall extend to the Channel Islands and the Isle of Man, and shall be registered by the Royal Courts of the Channel Islands.

Printed by Sir NORMAN GIBB SCORGIE, C.V.O., C.B.E.,
Controller of His Majesty's Stationery Office
and
King's Printer of Acts of Parliament